

Supervision Newsletter - February 2026

Interview

"Cyprus: from crisis to growth"

Cypriot banks rebuilt trust after the 2013 crisis, says George Ioannou, ECB Supervisory Board member and Director of Supervision of Credit Institutions at the Central Bank of Cyprus. He also shares why sound underwriting standards matter and reflects on being a European supervisor.

[Read the interview](#)

Feature

Safeguarding real estate collateral

Climate risks are rising, yet insurance protection is not catching up. Non-standardised insurance policies make it harder for banks to collect the data they need. A recent industry workshop discussed key challenges and ideas to improve insurance data and collateral resilience.

Article on safeguarding real estate collateral

In focus

Assessing NPLs based on risk

As banks have trimmed their non-performing loans to record lows, it is now time for the ECB to fine-tune its NPL supervision. This involves making oversight more efficient, cutting paperwork for low-risk banks and focusing attention on where it is needed most.

Article on NPLs

Non-executive directors: more time, improved governance

Non-executive directors across banks are dedicating more time to their roles, thereby strengthening governance. The ECB's updated benchmarking report highlights why sufficient time commitment is key to effective oversight, sound risk management and well-prepared boards.

Article on non-executive directors

One rulebook for bank mergers and divisions

Bank mergers and splits now follow a single EU-wide approach under the current regulation. This means clearer rules, stronger safeguards and faster approvals when risks are low. Early engagement with supervisors is key.

Article on bank mergers and divisions

Key data

Strong liquidity levels in Q3 2025

Significant banks maintained robust liquidity positions in the third quarter of 2025. The aggregate liquidity coverage ratio reached 157%, which is well above the regulatory minimum and remains 10 percentage points higher than pre-pandemic levels.

Explore the liquidity coverage ratio figures

Key data

Net interest income less relevant for smaller banks

The share of net interest income in smaller bank's operating income has gradually decreased following ECB rate hikes. The ratio fell to 56.85% in Q3 2025, although with a high degree of variability across countries, ranging from 90.52% in Estonia to 24.75% in France.

Explore more profitability figures

Upcoming events

24 February 2026

Anneli Tuominen at Nordea-ING event on banking competitiveness

The ECB representative to the Supervisory Board will join a panel discussion focused on advancing the single market for financial services.

5 March 2026

Sharon Donnery at 2026 IIF European Summit

The ECB representative to the Supervisory Board will discuss regulatory simplification and bank competitiveness in a panel.

18 March 2026

Claudia Buch at regular European Parliament hearing

The Chair of the Supervisory Board will give an introductory statement on banking supervision at a hearing before the European Parliament's Committee on Economic and Monetary Affairs.

18 March 2026

Pedro Machado at Handelsblatt Conference on Banking Regulation

The ECB representative to the Supervisory Board will give a keynote speech, highlighting the strategic direction and key objectives of the recently revised supervisory priorities.

29 April 2026

Claudia Buch at Danish Economic Society

The Chair of the Supervisory Board will give a presentation on the European banking union, focusing on its current state, key reforms, and implications for financial stability.

13 May 2026

Claudia Buch at University of Tübingen

The Chair of the Supervisory Board will give a lecture on the current challenges facing the banking sector and the evolving role of supervision in ensuring financial stability.

Upcoming public speeches

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